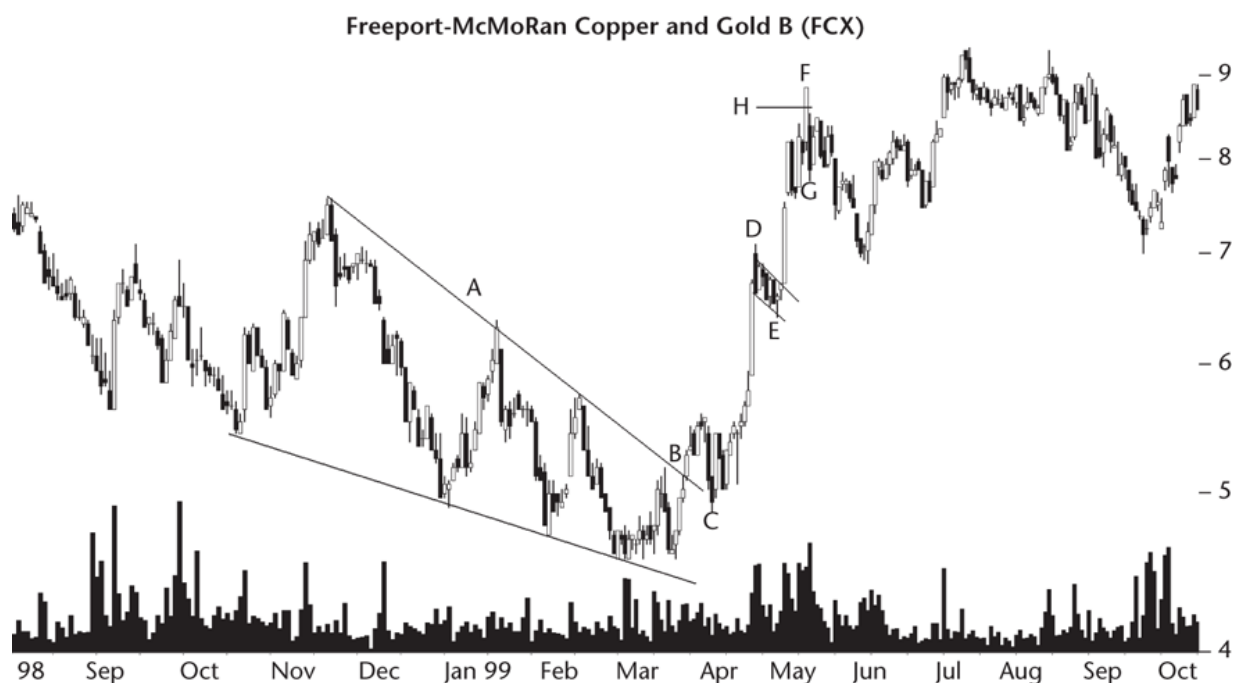


My notes say this was a perfect entry and exit. I executed it well, and price just didn't cooperate. That happens.

- Lesson: Even well-executed trades fail. It's the cost of doing business, and traders have to become accustomed to having losing trades.

Freeport-McMoRan Copper and Gold

[Figure 73.5](#) shows a trade I made in Freeport-McMoRan Copper and Gold (FCX) in 1999. The stock completed a falling wedge (A). At B, the stock broke out upward, and I grabbed it the same day, receiving a fill at 5.25. Within a week, the stock had thrown back to the breakout price and bottomed at C.



[Figure 73.5](#) This falling wedge trade made 51%.

Then it made a strong push higher to D. I don't have a reason to explain this strong upward move. It could have been an earnings release that was better than expected, or it could have been something else.

Regardless, the stock retraced and formed a very nice-looking flag, E. The flag broke out upward.

I calculated a price target. The low at C was 4.88 and the high at D was 7.09 for a flagpole height of 2.21. I added this to the bottom of the flag, E (6.41),